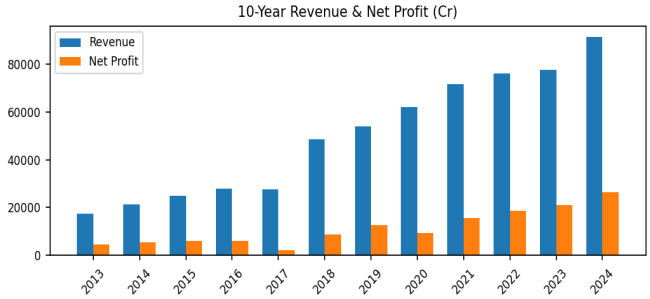
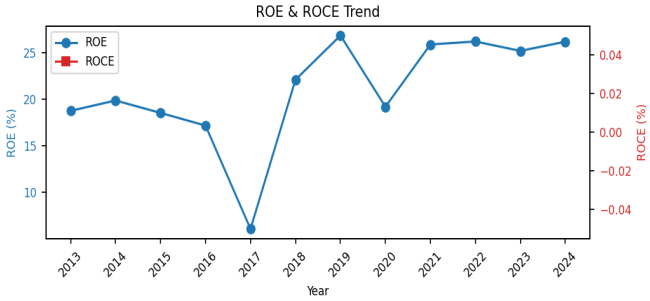
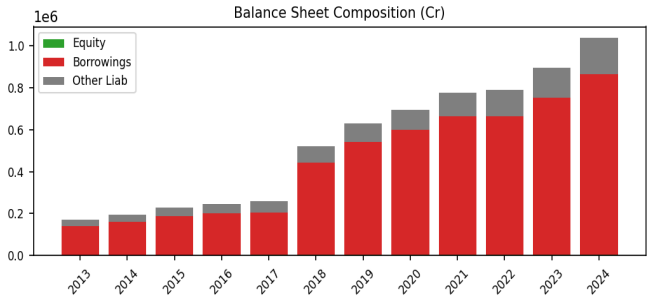
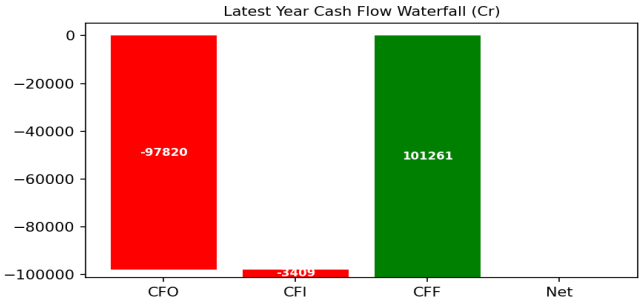
# Power Finance Corporation Ltd (PFC)

| Revenue | Net Profit | Total Equity |
|---|---|---|
| ■9.2T | ■2.6T | ■3300Cr |
| **ROE** | **ROCE** | **D/E** |
| 26.2% | - | 8.52x |






| Pros | Cons |
|---|---|
| • Consistently high return on equity above 20% demonstrates exceptional capital efficiency (Conf: 90%)<br>• Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%)<br>• Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%) | • Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (Conf: 85%)<br>• Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (Conf: 80%) |

## Capital Allocation Pattern: Growth Funded by Debt